

VP-01

Shareholders' Agreement

Executed 18 November 2022 | Series A governance and investor rights

Entity	VertexPay Technologies Private Limited
Status	Participant Case File
Benchmark note	Synthetic record. Names and identifiers are fictional; statutory and regulatory sources are real.

This Shareholders' Agreement (Agreement) is made at Mumbai on 18 November 2022 among VertexPay Technologies Private Limited (Company), Aarav Mehta (Founder 1), Nisha Rao (Founder 2), Saffron Seed Ventures LLP (Seed Investor), and Meridian Growth Fund I, acting through its investment manager Meridian Capital Advisors LLP (Series A Investor).

1. Background and interpretive priority

1.1 The Company operates payment-orchestration software for regulated banks and merchants. The parties intend that the Company will remain a technology service provider unless and until the Board approves, and all required authorisations permit, any activity involving receipt, pooling, control or settlement of customer funds.

1.2 The Series A Investor subscribes for 2,000,000 Series A compulsorily convertible preference shares (Series A CCPS) at INR 6.00 each, for INR 120,000,000. Each Series A CCPS carries one vote on an as-converted basis and converts one-for-one, subject to anti-dilution adjustments.

1.3 If this Agreement conflicts with the Articles, the Shareholders shall exercise their rights to amend the Articles promptly. As between the parties, this Agreement governs to the fullest extent permitted by law; however, no act requiring corporate authority is deemed authorised solely by this clause.

2. Capitalisation at Closing

Holder	Issued securities	As-converted / FD units	FD %
Aarav Mehta	4,050,000 equity	4,050,000	40.50%
Nisha Rao	2,700,000 equity	2,700,000	27.00%
Saffron Seed Ventures LLP	750,000 seed CCPS	750,000	7.50%
Meridian Growth Fund I	2,000,000 Series A CCPS	2,000,000	20.00%
Unallocated ESOP pool	Not issued	500,000	5.00%

Holder	Issued securities	As-converted / FD units	FD %
Total	9,500,000 issued	10,000,000	100.00%

2.2 Fully Diluted Share Capital includes all issued securities on an as-converted basis and the entire approved but ungranted ESOP pool. Unvested founder shares remain issued and outstanding.

3. Board composition and governance

3.1 The Board shall comprise four directors: one nominated by Founder 1 while he holds at least 15% on a Fully Diluted basis; one nominated by Founder 2 while she holds at least 10%; one nominated by the Series A Investor while it holds at least 8%; and one Independent Director appointed with the affirmative votes of both the Founder 1 Director and Investor Director.

3.2 Quorum is three directors and must include the Founder 1 Director and Investor Director. If quorum is absent, the meeting shall stand adjourned for five Business Days at the same time. At the adjourned meeting, any three directors constitute quorum, provided an Investor Director is present. No Reserved Matter may be considered at an adjourned meeting unless the absent protected director received the agenda and all material papers at least three Business Days before the original meeting.

3.3 At least seven days' written notice and a reasonably detailed agenda shall be given for Board meetings. Forty-eight hours is permitted for a genuine emergency affecting solvency, regulatory licence, material cybersecurity or a customer accounting for more than 15% of annual contracted revenue. The notice must state the emergency and cannot be used solely to approve a financing or change in control.

3.4 A director with a direct or indirect interest in a proposed contract shall disclose the nature of that interest. The Board shall apply the Companies Act and may require the interested director not to participate or vote. Disclosure does not itself waive a Reserved Matter consent.

4. Reserved Matters

4.1 The Company shall not take, agree or commit to any Reserved Matter without prior Board approval including the affirmative vote of the Investor Director and Founder 1 Director, for so long as each appointment right continues.

- issue, allot, redeem, buy back or vary rights of any security; alter authorised capital; or increase the ESOP pool;
- approve any financing below 80% of the price implied by the last qualified financing, other than a pro rata rights issue offered for at least 15 Business Days;
- enter into a related-party transaction exceeding INR 2,500,000 singly or INR 5,000,000 in a financial year, including with a relative or entity controlled by a Founder;
- change the Company's business so it receives, pools, holds or settles merchant or customer funds, or make any statement that the Company is authorised by RBI when it is not;
- terminate a Founder for Cause, remove a Founder as director, change a bank mandate, transfer material IP, settle litigation above INR 5,000,000, or approve an annual budget with cash runway below six months.

4.2 The Founders shall not unreasonably withhold consent to an emergency financing demonstrably required to avoid insolvency within sixty days, provided the financing is first offered pro rata on identical terms and no investor or affiliate receives a collateral benefit.

5. Information and inspection rights

The Company shall deliver monthly management accounts within 20 days, quarterly unaudited financials within 35 days, an annual budget 30 days before the financial year, and prompt notice of any material customer default, data incident, regulator communication or suspected fraud. Each Founder director and the Investor may inspect books on reasonable notice, subject to privilege and customer confidentiality.

6. Pre-emptive rights and future issues

6.1 Before issuing New Securities, the Company shall offer each Major Shareholder the right to subscribe for its Pro Rata Entitlement on the same terms. The offer shall remain open for 15 Business Days, identify price, instrument, investor, use of proceeds and all side arrangements, and include the current and post-issue capitalisation.

6.2 Excluded Securities are approved ESOP grants within the 500,000-unit pool, securities issued on conversion of existing instruments, and a bona fide stock split. Any other exclusion requires Reserved Matter approval.

6.3 A breach is not cured merely because the issue also receives shareholder approval. The parties reserve all statutory and contractual remedies; no clause purports to restrict powers of the Tribunal under applicable law.

7. Anti-dilution

If the Company issues equity-linked securities below INR 6.00 per share, the Series A conversion price adjusts on a broad-based weighted-average basis. The numerator includes Fully Diluted Share Capital immediately before the issue; unallocated ESOP units are included. No adjustment applies to Excluded Securities.

8. Founder vesting, good leaver and bad leaver

8.1 On Closing, 50% of each Founder's shares are deemed vested and the balance vests monthly over 24 months, subject to continuous service. By 18 November 2024 all Founder shares are vested.

8.2 Bad Leaver means a Founder whose service is terminated for Cause finally established under clause 8.3, or who resigns to join a competing payment aggregator in material breach of enforceable obligations. Bad Leaver treatment does not arise from mere suspension, allegation, loss of Board confidence or rejection of financing.

8.3 Cause means fraud, embezzlement, wilful misconduct causing material harm, conviction for an offence involving moral turpitude, or material breach not cured within 15 Business Days after a notice

specifying the breach. No cure is required for fraud or deliberate misappropriation. The Board decision requires the process in clause 4 and a reasonable opportunity to respond.

8.4 On Bad Leaver status, the Company or its nominee may purchase up to 35% of the Founder's vested shares at the lower of fair market value and original subscription price, subject to applicable law, available corporate power and completion within 90 days after final determination. No transfer occurs automatically.

9. Transfers; tag and drag

No Shareholder may transfer securities except under this Agreement and the Articles. Founder transfers are subject to a right of first refusal in favour of the Company and Major Shareholders. A transfer by the Series A Investor to an affiliate is permitted. A drag sale requires holders of at least 75% of Fully Diluted Share Capital including the Series A Investor and at least one Founder while Founders collectively hold 20%.

10. Founder service and restrictive covenants

Each Founder shall enter an employment agreement. During service, each Founder shall devote substantially all business time to the Company, disclose conflicts, and not divert opportunities. Post-termination restrictions apply only to the extent enforceable under Indian law; confidentiality, IP, non-solicitation and non-dealing provisions are severable.

11. Representations

The Company and Founders represent that the disclosed cap table is complete; no person has rights to securities except as disclosed; material customer correspondence has been disclosed; no Company funds are held outside Board-approved accounts; and Schedule 6 lists related-party transactions. Schedule 6 lists a software development arrangement with Vertex Labs LLP capped at INR 4,000,000 annually and states that Kunal Mehta is Aarav Mehta's brother.

12. Indemnity and limitation

The Founders jointly and severally indemnify the Investor for losses from fraud or knowing breach of fundamental representations, capped at the Founders' realised proceeds except for fraud. No party may recover reflective loss twice. Claims must be notified with reasonable particulars.

13. Confidentiality and announcements

No public or customer statement naming the Investor or describing regulatory approval may be made without required internal approval. Disclosure compelled by law is permitted after notice where lawful.

14. Dispute resolution

14.1 A dispute arising out of or relating to this Agreement, including its validity or termination, shall be finally resolved by arbitration seated in Mumbai under the Arbitration and Conciliation Act, 1996 by three arbitrators. Founder 1 and Founder 2 together appoint one, the Series A Investor appoints one, and the two appoint the presiding arbitrator. If parties on one side have adverse interests, appointment shall be sought under the Act.

14.2 Nothing prevents a party from seeking interim measures from a competent court or tribunal. Matters that cannot lawfully be determined by arbitration, and statutory remedies whose grant is reserved to a statutory forum, are not contracted away. Proceedings and awards shall be confidential subject to law.

15. Notices

Notices shall be sent by hand, recognised courier and email to the addresses in Schedule 8. Aarav's notice email is aarav.mehta@vertexpay.in, copied to aarav.legal@pm.me. A notice is deemed received by email only if no delivery failure is generated, but deemed receipt does not establish that an attachment was complete or unaltered.

16. General

This Agreement is governed by Indian law. Amendments require the Company, Investor and both Founders while each holds at least 10% FD. Waiver must be written and specific. Rights are cumulative. If any provision is invalid, the remainder survives. Counterparts and electronic execution are permitted.

Execution

Party	Signatory	Date shown
VertexPay Technologies Private Limited	Aarav Mehta, Managing Director	18 Nov 2022
Aarav Mehta	Aarav Mehta	18 Nov 2022
Nisha Rao	Nisha Rao	18 Nov 2022
Saffron Seed Ventures LLP	Devika Shah, Partner	18 Nov 2022
Meridian Growth Fund I	Kavya Menon, Authorised Signatory	18 Nov 2022